

Civil Aviation Authority of Nepal Act, 1996

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 10

Nepal Civil Aviation Authority Act, 2053

Royal Seal and Date of Publication

2053.8.5

Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 This Act shall be deemed to have come into force from Jestha 15, 2065 B.S. 2066.10.07
2. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19

Act No. 7 of 2043

An Act Made to Establish Nepal Civil Aviation Authority

Preamble: Whereas, it is desirable to make provisions for the establishment and operation of the Nepal Civil Aviation Authority in order to develop and expand Nepal Civil Aviation and to make the operation of air flight, air communication, air navigation, and air transportation services safe, regular, standard, and effective for national and international air connectivity;

Now, therefore, Parliament has enacted this Act in the twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. 1. Short Title, Extent, and Commencement: (1) This Act may be called the "Nepal Civil Aviation Authority Act, 2053".

(2) This Act shall apply throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and elsewhere, wherever they may be or reside, also in respect of the following aircraft and persons:

- (a) Nepali citizens,
- (b) Aircraft registered in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and persons therein.

(3) This Act shall come into force on such date as the Government of Nepal may appoint by notification published in the Nepal Gazette. This Act has been appointed to come into force from Poush 16, 2054 (Nepal Gazette 2054/6/12). 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Authority" means the Nepal Civil Aviation Authority established pursuant to Section 3. (b) "Aerodrome" means a defined or limited water or land area used wholly or partly for the purpose of aircraft departure or landing, and the term also includes all buildings, sheds, ships, boats, and docks situated in or relating to that area. (c) "Aerodrome area" means all places, buildings, sheds, towers, ships, boats, and docks where any equipment and communication or navigational aids used for the safe operation and control of an aerodrome or air flight or for the exchange of necessary information and data related thereto are installed or not installed. (d) "Aircraft" means any machine

which can derive support in the atmosphere from the reactions of air, and the term also includes balloon, airplane, helicopter, kite, glider, hang glider, microlight, balloon, and any other flying machine, whether tethered or untethered to the ground. (e) "Air flight permission" means permission granted for scheduled, non-scheduled, charter, private, emergency, and diplomatic air flights. (f) "Plan" means the Air Transport Service and Facility Development Plan pursuant to Section 6. (g) "Passenger service facility" means facilities made available within the aerodrome area, including post office, bank (including currency exchange counter), insurance, telephone, duty-free shop, curio shop, book shop, information center, restaurant, toilet, passenger lounge, waiting room, rest room, ticket checking room, immigration and customs checking room, porters for security and transportation of passengers and their baggage, baggage locker, vehicles, and other such facilities. (h) "Air service operating entity" means an entity, company, agent, firm, or person established with the objective of operating air transport service by undertaking the transportation of passengers, mail, and cargo by aircraft. (i) "Flight school" means an institution that provides training, instruction, and other types of technical knowledge on aviation subjects to technicians related to air flight operations, and the term also includes flying clubs established for such purpose. (j) "Aircraft owner" means a person, company, or association having ownership over an aircraft, and where a manager or managing agent of such company or association is appointed, the term also includes that person. (k) "Committee" means the Board of Directors constituted pursuant to Section 13. (l) "Chairperson" means the Chairperson of the Committee. (m) "Member" means a member of the Committee, and the term also includes the Member-Secretary of the Committee. (n) "Director General" means the Director General appointed pursuant to Section 19. (o) "Prescribed or as prescribed" means prescribed or as prescribed by the rules made under this Act. 3.

5. Functions, Duties, and Powers of the Authority: In addition to the functions, duties, and powers written elsewhere in this Act, the functions, duties, and powers of the Authority shall be as follows:

- (a) To grant, suspend, or revoke permission and certificate for operating air service to air service operating entities licensed under the prevailing law, as prescribed.
- (b) To grant, suspend, or revoke permission and certificate for operating flight schools licensed under the prevailing law, as prescribed.
- (c) To grant permission as prescribed to entities engaged in the production, maintenance, and overhaul of aircraft and aircraft spare parts licensed under the prevailing law, and to grant, renew, revoke, suspend, return licenses, ratings, and certificates to technicians working in such entities as prescribed, and to prescribe necessary qualifications and to conduct examinations in relation to the granting of such licenses, ratings, and certificates.
- (d) To grant, renew, revoke, suspend, return licenses, ratings, and certificates to persons possessing prescribed qualifications related to air service operation as prescribed, and to prescribe necessary qualifications and to conduct examinations in relation to the granting of such licenses, ratings, and certificates.
- (e) To recognize licenses, ratings, and certificates granted by member states of the International Civil Aviation Organization or associations authorized by such states in matters related to air service operation, and to recognize entities for the maintenance and overhaul of Nepali aircraft.
- (f) To register and mark aircraft as prescribed.
- (g) To grant, renew, and cancel the Certificate of Airworthiness of aircraft as prescribed.
- (h) To prescribe conditions under which aircraft may be used for flight, transportation of passengers, mail, and cargo by aircraft, and other industrial and commercial purposes.
- (i) To inspect aircraft, aircraft parking places, aircraft flight and air service operation arrangements, and aircraft maintenance and overhaul places.

- (j) To prescribe conditions for aircraft entry into, departure from, and flight over Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., air routes, and aircraft landing places, except areas and places prohibited by the Government of Nepal under the prevailing law.
- (k) To provide firefighting and life-saving services within the aerodrome and aerodrome area and to coordinate search and rescue operations.
- (l) To operate or cause to operate ground handling services at aerodromes.
- (m) To prescribe the requirements for visual and instrument flight and aeronautical charts, to prepare and circulate such charts, and to exchange meteorological information for flight.
- (n) To maintain and use its own aircraft for the purpose of technical investigation of air transport services and related matters.
- (o) To provide air traffic service, flight information service, alerting service, air traffic advisory service, air traffic control service, air navigation service and facilities, area control service, approach control service, and aerodrome control service.
- (p) To prescribe units of measurement used in relation to air communication, and to prescribe signals and equipment used for communication by or on board aircraft.
- (q) To control aircraft noise and to prevent atmospheric and environmental pollution caused by aircraft operation.
- (r) To prohibit and control the transportation of dangerous goods and substances by aircraft and to prescribe the quantities.
- (s) To grant air flight permission and to prescribe the duties, flight time, and rest time of aircraft pilots.
- (t) To advise the Government of Nepal on the determination of fares and charges for the transportation of passengers and cargo in operating air transport services.
- (u) To use or cause to use aerodromes, aerodrome areas, and the services and facilities available therein as prescribed in a manner that ensures maximum economic benefit and optimal utilization.
- (v) To implement or cause to implement as necessary the standards and recommendations (Annexes and Documents) adopted by the Convention on International Civil Aviation, ratified by the Government of Nepal, and determined under the Convention and by the International Civil Aviation Organization (ICAO).
- (w) To insure property such as buildings, aircraft, equipment, tools, etc. owned by the Authority as necessary.
- (x) To perform or cause to perform other functions as specified by the Government of Nepal.

6. Formulation and Implementation of Air Transport Service and Facility Development Plan: For the purpose of making the operation of air flight, air communication, air navigation, and air transportation services safe, regular, standard, and effective in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the Authority may formulate and implement an Air Transport Service and Facility Development Plan on the following subjects:

- (a) To construct, reconstruct, develop, expand, and maintain aerodromes. While constructing new aerodromes, prior approval of the Government of Nepal shall be obtained. While constructing, reconstructing, developing, and expanding aerodromes, an environmental impact assessment shall be conducted and prior approval of the concerned body shall also be obtained.
- (b) To cause to operate air transport services.
- (c) To arrange necessary communication and navigational aids and other equipment and tools at aerodromes, aerodrome areas, air routes, and related places.
- (d) To introduce and cause to introduce developed and modern technologies relating to operation of air transport services.
- (e) To develop and expand national and international air routes.

- (f) To provide necessary standard passenger service facilities for air passengers.
- (g) To arrange or cause to arrange high-level training and study to prepare skilled human resources in subjects related to the Air Transport Service and Facility Development Plan.
- (h) To perform functions related to air transport, civil aviation, and aerodromes and aerodrome areas in support of the tourism industry.
- (i) To perform or cause to perform other related functions as above. 7.

Power to Prohibit, Regulate, or Give Directions: (1) For the purpose of implementing the Plan, the Authority may prohibit, regulate, or give directions as necessary on the following subjects: (a) To arrange lighting at or near aerodromes, aerodrome areas, and air routes. (b) To require any person's private house or land situated in an aerodrome, aerodrome area, or air route to arrange lighting by that person or by the person enjoying such house or land, and the Authority shall bear the cost for that purpose. (c) To prescribe conditions or restrictions to be observed while constructing or erecting any building, tower, pole, etc., or arranging lighting on land falling within aerodromes, aerodrome areas, and air routes. (d) To prohibit the construction, erection, or heightening of any building, house, shed, tower, pole, tree, or any other thing exceeding the height specified in the conditions or restrictions prescribed under clause (c), or to require the complete or partial demolition, uprooting, or cutting down of such existing building, house, shed, pole, tree, etc. (e) To make necessary arrangements for the security of aircraft and any other property, equipment, or tools within an aerodrome or aerodrome area. (2) Pursuant to sub-section (1), the Authority may impose conditional restrictions on the enjoyment of any movable or immovable property of a person within an aerodrome or aerodrome area, having regard to air safety, and while making a decision regarding such restrictions or issuing a notice or order relating thereto, the reason for imposing the restriction shall also be clearly stated. 8.

Right to Enter Another's House or Land: (1) If necessary to enter any person's house or land situated near an aerodrome area or on an air route in the course of the Authority's work, an authorized officer designated by the Authority may enter such house or land after giving prior notice to the person using such house or land. Provided that, in order to prevent an accident or to carry out urgent maintenance work on any equipment installed in such house or land, or for any other justifiable reason, any employee of the Authority may enter such house or land at any time without prior notice. (2) An officer or employee of the Authority entering any person's house or land for the purpose of performing any work under sub-section (1) shall submit a report regarding the work done on such house or land to the Authority as soon as possible. 9.

10. Power to Raise Financial Resources: (1) The Authority may raise the financial resources necessary to carry out its functions by exercising the following powers:

- (a) To take loans and grants from domestic associations, institutions, banks, or persons.
- (b) To take loans and grants from foreign governments and foreign or international associations, institutions, with the approval of the Government of Nepal.
- (c) To invest the money lying in the Authority's fund.
- (d) To operate flights to a limited extent for income generation using aircraft owned by the Authority.
- (e) To collect fees as prescribed for landing, housing, ground handling, and parking of aircraft, or parking of other vehicles, at aerodromes and aerodrome areas owned by the Authority.
- (f) To collect fees as prescribed for overflight by any aircraft over the territory of Nepal.
- (g) To collect fees as prescribed for the use of communication and navigational aid facilities by aircraft flying within Nepal's airspace.
- (h) To collect cargo fees as prescribed for the transportation of goods imported into Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. by aircraft from abroad.

- (i) To collect passenger service facility fees as prescribed for providing necessary standard passenger service facilities to air passengers.
- (j) To collect fees as prescribed for granting, renewing, and conducting examinations for permissions, ratings, and certificates related to aircraft service operation.
- (k) To collect entry fees as prescribed from visitors entering the terminal building of an aerodrome owned by the Authority.
- (l) To collect fees as prescribed for providing firefighting and life-saving services for the rescue and security of aircraft, air passengers, and their property and goods.
- (m) To collect rent and fees as prescribed from persons operating prescribed businesses and trades including sale of aviation fuel, duty-free shops, flight catering service, cargo handling service, passenger transport (limousine) service, ground handling service, etc. within the aerodrome and aerodrome area.
- (n) To collect rent and fees as prescribed from persons operating businesses and trades and conducting advertisement and publicity within the aerodrome and aerodrome area.
- (o) To collect fees as prescribed for providing facilities such as electricity, drinking water, telephone, telex, fax, etc. within the aerodrome and aerodrome area.
- (p) To collect additional fees as prescribed for keeping the aerodrome and aerodrome area open beyond the stipulated time.
- (q) To collect rent and fees as prescribed for providing other prescribed services.

(2) In the case of a person who fails to pay the rent or fee payable under sub-section (1) within the prescribed period, additional rent or fee may be collected as prescribed. 11.

Power to Restrict Use of Service Facility: If a person fails to pay or deliver the rent or fee payable to the Authority for the use of a service facility under Section 10, the Authority may restrict the use of such service facility. 12. Joint Investment: The Authority may, with the prior approval of the Government of Nepal, operate plans and programs in joint investment with domestic or foreign investors. 13. Formation of Board of Directors: (1) For the conduct, supervision, and management of all the affairs of the Authority, a Board of Directors shall be formed consisting of the following Chairperson and Members: (a) Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Minister of State for Culture, Tourism and Civil Aviation, or a person designated by the Government of Nepal ? Chairperson (b) Representative, Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Ministry of Culture, Tourism and Civil Aviation ? Member (c) Representative, Ministry of Finance ? Member (d) One person nominated by the Government of Nepal from among persons of the private sector or associations and institutions having special expertise and experience in the tourism industry or business ? Member (e) One person nominated by the Government of Nepal from among persons who have achieved special qualifications in civil aviation ? Member (f) Two persons nominated by the Government of Nepal from among the directors of air service operating entities, including from the private sector ? Member (g) Director General ? Member-Secretary (2) The Government of Nepal may, by notification published in the Nepal Gazette, increase, decrease, or alter the Chairperson and Members of the Committee. (3) The Committee may, if it deems necessary, nominate an expert or advisor as an observer member of the Committee for a specified term. (4) The term of office of the Chairperson and Members nominated pursuant to clauses (a), (d), (e), and (f) of sub-section (1) shall be four years. Provided that, if the Government of Nepal so desires, it may re-nominate the Chairperson and Members whose term has expired. (5) The Board of Directors formed pursuant to sub-section (1) shall exercise all the powers and perform all the duties conferred on the Authority in accordance with this Act and the rules made under this Act. 14.

Circumstances for Cessation of Membership: (1) The Chairperson and Members of the Board of Directors formed pursuant to Section 13 shall not remain in their office under any of the following circumstances: (a) If removed by the Government of Nepal, (b) If the term of office expires, (c) If written resignation submitted to the Government of Nepal is accepted, (d) Upon death. (2) If the office of the Chairperson or any Member becomes vacant due to the cause under sub-section (1), another person may be nominated for the remainder of the term. 15. Meeting of the Committee: (1) A meeting of the Committee shall ordinarily be held once every two months. (2) The meeting of the Committee shall be held on the date, time, and place specified by the Chairperson. (3) If more than fifty percent of the total number of members of the Committee are present, it shall be deemed to constitute a quorum for the meeting. (4) The Chairperson shall preside over the meeting of the Committee, and in the Chairperson's absence, the member designated by the Chairperson shall preside. (5) The decision of the majority in a meeting of the Committee shall be binding, and in the case of a tie, the Chairperson shall give a casting vote. (6) The Member-Secretary shall record the subjects discussed and the decisions made in a minute book and have it signed by the members present at the meeting. (7) Other procedures relating to the meeting of the Committee may be determined by the Committee itself. 16. Functions, Duties, Powers, and Facilities of the Chairperson: (1) The functions, duties, and powers of the Chairperson shall be as follows: (a) To determine the order of priority of subjects to be discussed in the meeting of the Committee. (b) To monitor and evaluate plans and programs operated by the Authority, and to give necessary directions relating thereto. (c) To give necessary directions to do or cause to do any act or business necessary to fulfill the objectives of the Authority, except as mentioned in this Act or the rules made under this Act, and in special circumstances. (d) To operate or cause to operate the affairs of the Authority in an orderly, effective, profitable, and smooth manner. (2) The facilities to be received by the Chairperson shall be as specified by the Government of Nepal. 17. Acts not to be Invalidated: No act or proceeding of the Committee shall be invalidated merely by reason of any defect in the formation of the Committee or by reason of any vacancy in the position of any Member. 18.

Adherence to Commercial Principles: While performing the functions of the Authority, the Committee shall adhere to commercial principles, having regard to the safety and interests of the air service operation business and air passengers as well. 19. Director General, Advisors, and Other Employees: (1) For the conduct of the affairs of the Authority, the Government of Nepal shall appoint, as the chief executive, any employee ordinarily serving in the service of the Government of Nepal or in the service of the Authority, to the post of Director General. (2) The term of office of the Director General shall be four years, and if the Government of Nepal so desires, he/she shall be eligible for reappointment. (3) Notwithstanding anything written in sub-section (2), if the Government of Nepal so desires, it may remove the Director General from his/her office even before the completion of the term. (4) The Authority may appoint other advisors and employees as necessary. (5) The terms of service and facilities of the Director General, advisors, and other employees of the Authority shall be as prescribed. 20. Functions, Duties, and Powers of the Director General: The functions, duties, and powers of the Director General shall be as follows: (a) To conduct the general administration and management of the Authority. (b) To oversee and control the fund of the Authority, to manage property, and to arrange for its custody and maintenance. (c) To formulate the annual program and plan of the Authority and submit them to the Committee. (d) To prepare the annual income and expenditure and supplementary income and expenditure statements of the Authority. (e) To implement the budget, plan, and program approved by the Committee. (f) To arrange for the internal and final audit of the Authority. (g) To act as a liaison officer between the Authority and the Government of Nepal and other bodies. (h) To prepare draft rules relating to the terms of service of the employees of the Authority and submit them to the Committee for approval. (i) To prepare draft rules relating to the financial administration of the Authority and

submit them to the Committee for approval. (j) To establish or cause to establish contact and coordination among the various offices under the Authority. (k) To perform acts delegated by the Committee and in accordance with directions given. 21.

Aviation Security Personnel: (1) The Authority may arrange aviation security personnel as necessary for the security of the aerodrome and aerodrome area. (2) Until such aviation security personnel are arranged under sub-section (1), such security arrangements shall be made by the Government of Nepal. 22. Prohibition on Chairperson, Member, Director General, Advisor, and Employee: The Chairperson, Member, Director General, advisor, and employee of the Authority shall not, directly or indirectly, be a participant in any transaction or contract with the Authority. 23. Fund of the Authority: (1) The Authority shall have its own separate Fund. The capital, loans, and grants of the Authority, and the amounts received under Sections 10 and 12, shall also be deposited in that Fund. (2) All expenses of the Authority shall be borne from the Fund under sub-section (1). (3) The operation of the Fund of the Authority shall be as prescribed. Until rules relating to the operation of the Fund are made, the Fund shall be operated as specified by the Committee. 24. Accounts and Audit: (1) The accounts of the Authority shall be kept in the format and manner approved by the Committee. (2) The audit of the accounts of the Authority shall be carried out by the Auditor General or by an auditor designated by him/her. 25. Penalties: (1) If any person, without prior approval of the Authority, does any act which the Authority has regulated or prohibited under Section 7, or does any act contrary to any condition specified by the Authority while granting approval, the Authority may impose a fine of up to fifty thousand rupees on such person. (2) If any person obstructs any work done or intended to be done by the Authority under this Act or the rules made under this Act, the Authority may impose a fine of up to ten thousand rupees on such person. (3) If any person does any act contrary to any order or direction given by the Authority under this Act, the Authority may impose a fine of up to twenty-five thousand rupees on such person. (4) If any person does any act contrary to this Act or the rules made under this Act other than those mentioned above, the Authority may impose a fine of up to ten thousand rupees on such person. 26. Protection of Acts Done in Good Faith: Neither the Chairperson, Members, Director General, nor other employees of the Authority shall be personally liable for any loss